

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the nine months ended 31st December 2018

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	For the quarter ended			For the nine months ended		
	31.12.2018	31.12.2017	Change	31.12.2018	31.12.2017	Change
	LKR	LKR		LKR	LKR	
	Unaudited*	Reclassified Unaudited*	%	Unaudited*	Reclassified Unaudited*	%
Interest Income	662,848,512	626,347,368	5.8%	1,970,790,292	1,813,562,274	8.7%
Interest Expenses	(369,420,761)	(325,197,476)	13.6%	(1,051,188,831)	(912,501,990)	15.2%
Net Interest Income	293,427,751	301,149,893	-2.6%	919,601,461	901,060,285	2.1%
Net Trading Gain/(Loss) on Equity Securities	-	(1,438)	-100.0%	(9,220)	(28,365)	-67.5%
Other Operating Income	48,956,831	31,674,798	54.6%	120,548,603	75,755,094	59.1%
Less: Operating Expenses						
Personnel Costs	(66,253,706)	(64,286,664)	3.1%	(206,325,961)	(195,651,408)	5.5%
Provision for Staff Retirement Benefits	(2,125,000)	(1,500,000)	41.7%	(6,325,000)	(4,500,000)	40.6%
General and Administration Expenses	(163,157,744)	(113,648,498)	43.6%	(451,630,310)	(327,286,411)	38.0%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(75,000,000)	(80,000,000)	-6.3%	(245,000,000)	(209,000,000)	17.2%
Operating Profit before Value Added Tax on Financial Services	35,848,133	73,388,090	-51.2%	130,859,574	240,349,195	-45.6%
Value Added Tax on Financial Services	(13,943,242)	(13,123,935)	6.2%	(48,055,484)	(50,261,107)	-4.4%
Profit Before Taxation	21,904,891	60,264,156	-63.7%	82,804,091	190,088,088	-56.4%
Income Tax (Expenses) / Reversal	(7,088,832)	(13,679,840)	-48.2%	(30,158,461)	(47,114,711)	-36.0%
Profit for the Period	14,816,059	46,584,316	-68.2%	52,645,630	142,973,377	-63.2%
Actuarial Loss on Retirement Benefit Liability	-	-	-	-	-	-
Income Tax on Components of Other Comprehensive Income	-	-	-	-	-	-
Other Comprehensive Income for the Period Net of Tax	-	-	-	-	-	-
Total Comprehensive Income for the Period	14,816,059	46,584,316	-68.2%	52,645,630	142,973,377	-63.2%
Earnings Per Share - Basic	0.07	0.22	-68.2%	0.08	0.23	-63.2%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.12.2018 LKR Unaudited*	31.03.2018 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	914,580,880	660,159,119	38.5%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	674,875,120	622,975,267	8.3%
Other Financial Assets	-	207,244,747	100.0%
Financial Assets - Held for Trading	125	213,734	-99.9%
Loans and Advances	7,355,084,025	7,247,899,368	1.5%
Lease Rentals Receivable and Hire Purchase	3,428,604,623	2,280,489,222	50.3%
Other Assets	18,235,031	15,587,389	17.0%
Income Tax Receivable	2,641,558	362,927	627.8%
Vehicle Stock	26,478,997	262,088	10003.1%
Advances, Deposits and Prepayments	100,160,610	67,948,443	47.4%
Financial Assets - Available for Sale	506,659	506,659	-
Property, Plant and Equipment	157,611,725	150,037,783	5.0%
Investment Property	409,703,829	352,385,530	16.3%
Deferred Tax Assets	112,814,716	112,814,714	-
Intangible Assets	9,528,316	8,807,431	8.2%
Total Assets	13,210,826,214	11,727,694,421	12.6%
LIABILITIES			
Due to Banks	174,992,570	454,920,306	-61.5%
Other Liabilities	29,789,728	36,650,813	-18.7%
Other Borrowed Funds	5,006,101,626	3,001,078,792	66.8%
Due to Customers	6,064,756,894	6,356,067,246	-4.6%
Retirement Benefit Liability	23,607,493	20,044,993	17.8%
Total Liabilities	11,299,248,311	9,868,762,150	14.5%
SHAREHOLDERS' FUNDS			
Stated Capital	1,388,935,273	1,388,935,273	0.0%
Retained Earnings	451,623,432	401,610,081	12.5%
Statutory Reserve Fund and Other Reserves	71,019,198	68,386,917	3.8%
Total Equity	1,911,577,903	1,858,932,271	2.8%
Total Equity and Liabilities	13,210,826,214	11,727,694,421	12.6%
Net Assets Per Share	2.28	2.22	2.8%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 31st December 2018 and its profit for the nine months ended 31st December 2018.

.....sgd.....

Geethika Elwalage

Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....sgd.....

R.J.A. Gunawardena

Director/CEO

.....sgd.....

C. Ramachandra

Director/Chairman

21st January 2019

Colombo

* The above figures are provisional and subject to audit.

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE NINE MONTHS ENDED 31 DECEMBER, 2018

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	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2017 (Audited)	1,388,935,273	3,000,000	56,347,669	288,608,924	1,736,891,866
Profits for the nine months ended 31.12.2017	-	-	-	142,973,377	142,973,377
Transferred to/from reserves During the Period	-	-	7,148,669	(7,148,669)	-
Final dividend for 2016/17				(58,744,548)	
Balance as at 31st December, 2017 (Unaudited*)	1,388,935,273	3,000,000	63,496,338	365,689,084	1,821,120,695
Balance as at 1st April, 2018 (Audited)	1,388,935,273	3,000,000	65,386,917	401,610,084	1,858,932,273
Profits for the nine months ended 31.12.2018	-	-	-	52,645,630	52,645,630
Transferred to/from reserves During the Period	-	-	2,632,281	(2,632,281)	-
Balance as at 31st December, 2018 (Unaudited*)	1,388,935,273	3,000,000	68,019,198	451,623,432	1,911,577,903

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.12.2018 Rs. Unaudited*	31.12.2017 Rs. Unaudited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	82,804,091	190,088,088
Adjustments for		
Depreciation and Amortization	37,524,624	33,582,871
Impairment of Loans, Lease and Hire Purchase	245,000,000	209,000,000
Gain from disposal of vehicle stock	(451,859)	-
Profit on Sale of Quoted Equity Shares	1,614	40,449
Interest Income on Commercial Papers	(6,234,305)	(8,614,120)
Gain on Fair Valuation of Held for Trading Securities	7,606	(12,085)
Profit from Sale of Property, Plant and Equipment and Investment Property	(155,174)	(229,775)
Provision for Retirement Benefit Liability	6,325,000	4,500,000
Interest expense on other borrowings	409,158,406	292,211,079
Finance Cost	3,051,443	1,848,316
Profit from Operation Before Working Capital Changes	777,031,446	722,414,824
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	(1,425,032,191)	(468,617,652)
Increase in Loans and Advances	(248,012,676)	(626,987,816)
(Increase)/Decrease in Other Receivables	(2,647,642)	(61,032,632)
(Increase)/Decrease in Deposits and Prepayments	(32,212,167)	11,741,353
Increase in Deposits from Customers	(291,310,352)	632,771,104
Increase/(Decrease) in Other Liabilities	(6,861,085)	(26,140,686)
Net Cash From/(Used in) Operating Activities before Income Tax Payments	(1,229,044,668)	184,148,496
Taxes Paid	(33,723,220)	(38,122,470)
Gratuity Paid	(2,762,500)	(405,000)
Net Cash From Operating Activities	(1,265,530,387)	145,621,026
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(43,393,758)	43,430,234
Acquisition of intangible assets	(3,096,331)	-
Acquisition and proceeds from sale of Investment Property	(57,318,299)	8,750,000
Investment/Proceeds from Commercial Papers	213,479,053	416,375,034
Acquisition and proceeds of Vehicle Stock	(25,765,049)	-
Proceeds from sales of held for trading securities	204,389	-
Proceeds from sales of property, plant and equipment	825,812	25,205,010
Net Cash Flows From/(Used in) Investing Activities	84,935,816	493,760,278
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(2,495,690,960)	(1,987,586,650)
Proceeds from Other Borrowed Funds	4,091,555,388	1,923,714,809
Net Cash Flows From/(Used in) Financing Activities	1,595,864,428	(63,871,841)
Net Increase in Cash and Cash Equivalents	415,269,857	(190,905,638)
Cash and Cash Equivalents at the Beginning of the Period	999,193,573	999,193,573
Cash and Cash Equivalents at the End of the Period	1,414,463,430	808,287,935
At the End of the Period		
Cash and Cash Equivalents	914,580,880	493,973,354
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	674,875,120	609,392,880
Bank Overdraft	(174,992,570)	(295,078,298)
	1,414,463,430	808,287,935

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	31.12.2018	31.12.2017	31.12.2018	31.12.2017	31.12.2018	31.12.2017	31.12.2018	31.12.2017	31.12.2018	31.12.2017	31.12.2018	31.12.2017	31.12.2018	31.12.2017
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	617,772,754	270,993,356	1,269,559	9,273,828	918,715,775	1,189,696,211	73,254,000	103,947,522	319,869,438	204,058,910	39,908,766	35,592,447	1,970,790,292	1,813,562,274
Other Income	5,929,081	5,929,081	212,908	212,908	32,153,649	32,153,649	1,836,602	1,836,602	24,971,393	24,971,393	10,623,096	10,623,096	120,539,383	75,726,730
Total Revenue	623,701,835	276,922,437	1,482,466	9,486,735	950,869,423	1,221,849,860	75,090,603	105,784,124	344,840,832	229,030,304	50,531,863	46,215,544	2,091,329,676	1,889,289,004
Segmental Result	39,026,538	35,229,171	92,762	1,206,872	59,498,208	155,439,761	4,698,601	13,457,512	21,577,528	29,136,489	3,161,901	5,879,391	130,859,574	240,349,195
Value Added Tax on Financial Services													(48,055,484)	(50,261,107)
Profits from Operations													82,804,091	190,088,088
Income Tax Charge/Reversal for the Period													(30,158,461)	(47,114,711)
Net profit for the Period													52,645,630	142,973,377
Segment Assets	3,408,853,967	1,752,874,742	19,750,656	71,422,732	5,111,842,930	5,842,909,073	1,589,962,784	1,462,743,855	2,243,241,095	1,487,623,144	-	-	12,373,651,432	10,617,573,546
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	837,681,441	718,764,281	837,681,441	718,764,281
Total Assets	3,408,853,967	1,221,623,119	19,750,656	219,610,439	5,111,842,930	5,684,287,268	1,589,962,784	993,453,450	2,243,241,095	1,099,089,716	837,681,441	640,692,395	13,211,332,873	11,336,337,827
Segment Liabilities	3,098,152,903	1,561,699,193	17,950,476	63,633,083	4,645,922,403	5,205,657,978	1,445,045,127	1,303,211,144	2,038,780,182	1,325,376,998	-	-	11,245,851,090	9,459,578,396
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	53,397,221	55,638,736	53,397,221	55,638,735
Total Liabilities	3,098,152,903	1,079,119,247	17,950,476	193,992,606	4,645,922,403	5,021,208,016	1,445,045,127	877,565,856	2,038,780,182	970,879,520	53,397,221	62,185,056	11,299,248,311	9,515,217,131

In determining segment results,

Expenses have been allocated proportionately based on interest income

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2018.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 31st December, 2018 (including comparatives) were approved and authorized for issue on 18th January , 2019 in accordance with a resolution of the board of directors on 18th January, 2019.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended and nine months ended 31st December, 2018 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	31.12.2018	31.12.2017
Issued and Fully Paid Ordinary Shares (Quoted)	839,207,833	839,207,833

08. Market Value of Shares

	31.12.2018	31.12.2017
	Rs.	Rs.
Highest Traded Price	1.20	1.60
Lowest Traded Price	0.80	1.40
Closing Price	0.90	1.40

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 31st December 2018

NAME	No of Shares	(%)
1 Muthoot Finance Limited	503,524,700	60.00
2 Seylan Bank PLC/Thirugnanasambandar Senthilverl	75,605,044	9.01
3 J.B. Cocoshell (Pvt) Ltd	42,429,508	5.06
4 Mr. S.D.R.Arudpragasam	24,606,384	2.93
5 People'S Leasing & Finance PLC/Mr.W.K.R.Jayakody	15,012,800	1.79
6 Mr. P.A.D.R.U. Pushpakumara	13,400,000	1.60
7 Mr.K.M.S.M.Razeek ,Mr.K.S.M.Rajubdeen & Mr.S.M.R.Mohamed	7,400,000	0.88
8 Seylan Bank PLC/W.D.N.H.Perera	6,400,000	0.76
9 DFCC Bank PLC/P.S.R.Casie Chitty	5,500,000	0.66
10 Mutiara Holdings (Private) Ltd	5,100,000	0.61
11 Mr .C.V . Gunasekara	4,600,000	0.55
12 Code-Gen International Pvt Ltd	4,241,188	0.51
13 DFCC Bank PLC/Mr.K.S.D.Senaweera	3,350,000	0.40
14 Mr. P.P. Subasinghe	3,026,237	0.36
15 Mr.C.R.Perera	2,749,991	0.33
16 Mr.S.Abishek	2,293,892	0.27
17 Mr.U.C.Bandaranayake & Mrs. L.Bandaranayake	2,000,000	0.24
18 Mr W.K.R.Jayakodi	1,961,000	0.23
19 Mr.T.S.Salim	1,924,950	0.23
20 Mrs.M. Arudpragasam	1,643,208	0.20
	726,768,902	86.60
Others	112,438,931	13.40
Total	839,207,833	100.000

No of Shareholders	% of Shareholdin
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11. Shares held by public as at 31st December 2018

2,632 39.83

12. Directors Share Holding

Name	No. of Shares 31.12.2018	%
Mr.Chandrakumar Ramachandra	800,000	0.095
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	600,000	0.071
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr. Danasiri Rupakumara Jayasekara	-	-
Mr.R.A.T.P.Perera	-	-
Mr.K.G.K.Pillai	-	-

13 Corporate Information

Name of the Company
Asia Asset Finance PLC

Legal Form
Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)
PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)
PB 139 PQ

Registered Office
No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone
011 5 66 99 22

Fax
011 2 57 74 77

E-mail
info@asiaassetfinance.lk

Website
<http://www.asiaassetfinance.lk/>

Board of Directors of the Company
Mr.Chandrakumar Ramachandra
Mr.Rajiv James Abeywicrema Gunawardena
Mrs.Dayangani Priyanthi Pieris
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Company Secretary
P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company
Gunawardane & Ranasighe Associates
1056 Mardana Road,
Colombo 08.

Company Auditors - External
BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :
Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank
Nation Trust Bank

Audit Committee
Mr.Thusitha Perera
Mr. Danasiri Rupakumara Jayasekara
Mr.Chandrakumar Ramachandra
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee
Mr.Chandrakumar Ramachandra
Mr.Thusitha Perera
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Roshan De Silva Gunasekara (COO)
Mr. Danasiri Rupakumara Jayasekara

Remuneration Committee
Mr.Chandrakumar Ramachandra
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee
Mr.Danasiri Rupakumara Jayasekara
Mrs.Dayangani Priyanthi Pieris
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

IT committee
Mr.Rajitha Ananda Bandara Basnayake
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Chandrakumar Ramachandra
Mrs.Dayangani Priyanthi Pieris
Mr.Danasiri Rupakumara Jayasekara

Credit Committee
Mr.Danasiri Rupakumara Jayasekara
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Chandrakumar Ramachandra